



Saving and investing for a pension

The amount of income a pension can provide in retirement depends on how much has been saved and how well the investments have performed.

How it works

Some countries pay retirees a state pension based on taxpayers' contributions. However, a state pension only provides enough money for a very basic standard of living, and so many countries encourage people to save money while they are working to provide them with additional income for a more comfortable retirement.

Saving into a private pension is the most common way of doing this. A pension is a long-term savings plan in which the money is invested in shares, bonds, or other types of asset with the aim of providing a return on the money invested. The more money saved while working, and the better the investments perform, the more money there will be to live on in retirement.



NEED TO KNOW

- **State pension** Pension payout determined by the taxpayer's regular contributions.
- **Defined contribution** Pension payout determined by the amount paid in and the investment fund's performance.
- **Defined benefit** Pension payout from an employer determined by final or average salary.
- **SIPP** Self-invested personal pension; saver picks investments.

Early investment for maximum return

The earlier an individual starts to save for a pension, the better. Firstly, they will need to save a smaller amount each month to reach their desired sum for retirement. Secondly, some employers also contribute to their employees' pension savings, while some governments offer tax benefits on pension savings. Thirdly, investments will have longer to weather the ups and downs of the markets, so savers will benefit from more interest as it accrues over the years.

